TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Cash flow

5 Financial information and financial decisions
5.2 Cash flow forecast (0450: 5.2 Cash-flow forecasting and working capital)



A revision lesson. Pupils run a car dealership in firms of four and revise cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Profit on this deal

Round 1

They pay you in 30 days.

Profit on this deal?

Cars in the deal	**2 cars**
You buy them today, in total	**£28,000**
Prep and delivery, per car	**£300**
Customer pays in total	**£34,000**

ANSWER

£5,400

£34,000 − £28,000 − 2 × £300 = £5,400

Why: £5,400 profit, but £28,600 is out of your cash for 30 days.

2 Improve cash flow

Round 1

Your bank balance is low. Customers take 60 days to pay you.

Which two would improve your cash flow?

- **A** Ask customers to pay sooner
- **B** Buy more cars now to sell later
- **C** Ask suppliers for longer to pay
- **D** Give customers 90 days to pay
- **E** Pay suppliers early for goodwill

ANSWER

✓ Ask customers to pay sooner
✓ Ask suppliers for longer to pay

Why: Cash comes in sooner or goes out later; the other three take cash out sooner.

3 Forecast in order

Round 2

You fill in next month's cash-flow forecast.

In what order do you work it out?

- **A** Add it to the opening balance
- **B** That gives the closing balance
- **C** Net cash flow: cash in minus cash out
- **D** It becomes next month's opening balance

ANSWER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

Why: Net cash flow first; add the opening balance; the closing balance carries over.

Topic tasks

4 Month-end balance

Round 2

A two-month deal.

Balance at the end of month 1?

Set aside for this deal	**£25,000**
Month 1: you buy the cars	**£49,500**
Month 1: customer deposit	**£11,500**
Month 2: rest of the price	**£45,500**

ANSWER

−£13,000

£25,000 − £49,500 + £11,500 = −£13,000

Why: Month 1 is short by £13,000. Month 2 brings £45,500.

5 Cash now or later

Round 3

Your bank balance is low. A taxi firm pays £30,000 today; a hire firm pays £31,000 in 90 days.

Which deal should you take, and why?

A The hire firm: £31,000 in 90 days

B The taxi firm: £30,000 today

ANSWER

✔ The taxi firm: £30,000 today

Why: With cash short, money today matters more than £1,000 more in 90 days.

6 Month-end balance

Round 3

They pay half in month 2.

Balance at the end of month 2? Minus allowed.

Set aside for this deal	**£15,000**
Month 1: you buy the cars	**£42,000**
Running costs, each month	**£400**
Customer's price	**£53,000**

ANSWER

−£1,300

£15,000 − £42,000 − 2 × £400 + £26,500 = −£1,300

Why: Month 2 is still short: the other half comes in month 3.

Final questions

Each pupil answers 6 final questions on cash flow. They come from these 12 questions.

1 A dealership starts a week with £15,000 cash. Cash inflows are £42,000 and cash outflows are £38,000. What is the closing cash balance?
✔ **£19,000**

2 A motor business forecasts cash inflows of £31,000 and cash outflows of £37,000 in April. What is net cash flow for April?
✔ **−£6,000**

3 A dealership opens April with £22,000 cash and forecasts net cash flow of −£6,000. What is its forecast closing balance?
✔ **£16,000**

4 A dealer records a sale on credit but will not receive cash for 30 days. Why can it be profitable yet short of cash?
✔ **Profit counts sales; cash depends on when money arrives**

5 A firm begins a week with £8,000 cash, receives £25,000 and pays £39,000. What is its closing cash balance?
✔ **−£6,000**

6 Customers pay 60 days after delivery, so a profitable fleet dealer is short of cash. Which change helps its cash flow most directly?
✔ **Agree shorter payment terms**

7 Why should the Finance lead update a cash-flow forecast when customer payment dates change?
✔ **Receipt timing changes when a surplus or shortage may occur**

8 Why should the Finance lead not use profit alone to decide whether a bill can be paid today?
✔ **Profit does not show when cash arrives**

9 Which sign should most concern the Finance lead about short-term solvency?
✔ **It often cannot pay bills when due**

10 Profit is sales minus costs. Cash is the money in the bank now. A profitable dealer cannot pay a bill due Friday. What helps soonest?
✔ **Chase customers who owe it money**

Final questions

11 Net cash flow = cash in − cash out. In: £64,000 sales, £19,000 servicing. Out: £71,000 stock, £26,000 wages. Step one: cash in = £83,000. What is net cash flow?

✔ **£14,000 negative**

12 A dealer's yearly revenue exceeds total costs, but this month it cannot pay its parts supplier on time. Which problem is this?

✔ **A cash-flow problem: money goes out before it comes in**